IN THE UNITED STATES BANKRUPTCY COURT

FOR THE EASTERN DISTRICT OF OKLAHOMA

In re:	Case No. 24-80617
C M HEAVY MACHINERY, LLC,	Chapter 11
Debtor.	

GREAT PLAINS NATIONAL BANK'S CLOSING BRIEF IN SUPPORT OF MOTION TO DISMISS, OR ALTERNATIVELY, TO CONVERT THE BANKRUPTCY CASE TO CHAPTER 7 PROCEEDING

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ATTORNEYS FOR GREAT PLAINS NATIONAL BANK

Great Plains National Bank ("GPNB") submits this Closing Brief in Support of its Motion to Dismiss, or Alternatively, to Convert the Bankruptcy Case to Chapter 7 Proceeding (the "Motion") filed on January 30, 2025 [Doc. No. 82] pursuant to the Court's directive at the Evidentiary Hearing held April 9, 2025 and the Minute Entry [Doc. No. 159] dated April 10, 2025. Debtor C M Heavy Machinery, LLC ("Debtor") filed its Opposition to the Motion on February 13, 2025, and testimony has been heard from Clint Meadors, Holly Goodson, Larry Perdue, Justin Perdue and Blake Johnson. Based on the briefing and the evidence before the Court, GPNB respectfully asks the Court to enter an order converting the above-captioned bankruptcy case ("Bankruptcy Case") to a case under chapter 7 of the Bankruptcy Code.

ARGUMENTS AND AUTHORITIES

Under section 1112(b) of the Bankruptcy Code, the Court "shall convert a case under this chapter to a case under chapter 7 . . . for cause unless the court determines that the appointment under section 1104(a) of a trustee or an examiner is in the best interests of creditors and the estate."[1] Grounds for "cause" include, among other things, a debtor's "gross mismanagement of the estate" and a "substantial or continuing loss to or diminution of the estate and the absence of a reasonable likelihood of rehabilitation."[2] However, the Court may find "cause" on other facts if

[1] 11 U.S.C. § 1112(b)(1) ("Except as provided in paragraph (2) and subsection (c), on request of a party in interest, and after notice and a hearing, the court shall convert a case under this chapter to a case under chapter 7 or dismiss a case under this chapter, whichever is in the best interests of creditors and the estate, for cause unless the court determines that the appointment under section 1104(a) of a trustee or an examiner is in the best interests of creditors and the estate.").

[2] *Id.* § 1112(b)(4)(A).

[3] *See In re Ameribuild Constr. Mgmt.*, 399 B.R. 129, 131 n.3 (Bankr. S.D.N.Y. 2009) ("The list contained in § 1112(b) 'is not exhaustive. The Court will be able to consider other factors as they arise, and to use its equitable powers to reach an appropriate result in individual cases.' (quotation omitted)); *In re TCR of Denver, LLC*, 338 B.R. 494, 500 (Bankr. D. Colo. 2006)

they demonstrate that conversion is equitable.[3] And "cause" need only be established by a preponderance of the evidence.[4]

Here, there is cause to convert the Bankruptcy Case to a chapter 7 case for at least three reasons. First, the evidence established that Clint Meadors ("Meadors"), the owner and sole employee of Debtor, is grossly mismanaging the bankruptcy estate. Second, the Debtor's bankruptcy estate is suffering a continued diminution in value—despite paying no administrative expenses or professional fees to date—and does not have a reasonable likelihood of rehabilitation. Third, the Court should find cause exists on equitable grounds because of Meadors' continued breach of his fiduciary duty to the bankruptcy estate and the Debtor's potential interest in forty-four (44) pieces of heavy equipment that were not disclosed in its bankruptcy schedules.

I. The Debtor has grossly mismanaged the Bankruptcy Estate.

A. Meadors has inaccurately reported the Debtor's financial condition throughout this case and has failed to correct these inaccuracies.

"A debtor-in-possession is vested with significant powers under the provision of the Bankruptcy Code."[5] Thus, debtors-in-possession must "keep the Court and its creditors informed about the status and condition of its business."[6]

Hence, a debtor must file accurate financial reports. For instance, in *In re Gateway Access Sols., Inc*, the debtor filed monthly reports that did not accurately reflect the Debtor's obligations.[7] The debtor's manager "was not closely monitoring the monthly operating reports"

("[T]he Court may dismiss a Chapter 11 case for reasons other than those specified in section 1112(b) as long as those reasons satisfy 'cause.'").

[4] *In re Woodbrook Assocs.*, 19 F.3d 312, 317 (7th Cir. 1994) (citing 7 Colliers on Bankruptcy ¶ 1112.04); *In re Paterno*, 511 B.R. 62, 66 (Bankr. M.D.N.C. 2014).

[5] *In re Gateway Access Sols., Inc.*, 374 B.R. 556, 565 (Bankr. M.D. Pa. 2007).

[6] *Id.*

[7] *Id.*

and was unjustifiably deferring to the company's accountants involving the same.[8] This provided grounds to convert the case to chapter 7 because of the role "accurate reporting and financial transparency" plays "in the management of a debtor-in-possession."[9] Similarly, in *In re M.A.R. Designs & Construction, Inc.*, the debtor's manager testified that "information on some of" the debtor's "reports were inaccurate due to his mistakes."[10]

The court acknowledged that the debtor was required "to provide the [c]ourt and parties in interest with an accurate financial picture of the debtor-in-possession."[11] Accordingly, "numerous inaccuracies in Debtor's MORs can demonstrate gross mismanagement when paired [with] misconduct that leaves the Court and all parties in interest with an inaccurate picture of [the d]ebtor's financial condition."[12]

The same situation exists in this case. The Debtor, through Meadors, has completely neglected its duty to provide the Court and parties-in-interest with an accurate financial picture of its operations. Specifically:

> The Debtor's Schedule A/B:
> Meadors now contends he personally owns several pieces of valuable equipment that are listed as the Debtor's in its Schedule A/B. Transcript at 18:1-21. Meadors contends that he personally owns a 2021 McCormick X6 470 that the Debtor values at $105,000.00 in Schedule A/B, an Attachment-Loader valued at $15,000.00 in Schedule A/B, and a 2021 Maschino roller/tiller attachment valued at $18,000.00 in Schedule A/B. Id. at 19:16-20:22, 30:22-31:20; Ex. 23.001-2.
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> The Debtor's Schedule A/B requires the Debtor to provide the "[c]urrent value of debtor's interest" in its assets. Ex. 1.015-19 at Item 22 and Item 47. But the Debtor valued its property as of the date it took the loan from the bank, which was 2019. Transcript at 21:3-25, 43:16-44:12, 46:19-47:13. Meadors testified he did not do any independent investigation regarding the value of the Debtor's assets before filing for bankruptcy. Id. at 44:9-12.

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[8] *Id.*
[9] *Id.*
[10] 653 B.R. 843, 858-59 (Bankr. S.D. Tex. 2023).
[11] *Id.*
[12] *Id.*

In Schedule A/B, the Debtor falsely certified that assets had not been appraised by a professional within the past year. Ex. 1.019 at Item 53. At the hearing, Meadors testified that the Debtor's property was appraised by Ritchie Bros. and that the date that establishes "when the appraisal was" is "[w]henever the Debtor put some equipment in a Ritchie Brothers' auction." Transcript at 44:13-45:20. This auction took place in June 2024, which was less than three (3) months preceding the bankruptcy filing. Id. at 207:8-208:13.

The Debtor's Schedule A/B includes a 2005 Dodge 2500 truck that Meadors asserts was his personal truck and, evidently, was sold pre-petition. Id. at 36:24-37:6.

The Debtor's Initial Report and Monthly Operating Reports:
In its September Monthly Operating Report, the Debtor reports that it had a profit of $67,566.88. Ex. 4.002 at Part 4, Item k. This is incorrect. The Debtor's profit and loss statement shows that it had a gross profit of $10,374.00 in September 2024, with $108,078.33 of expenses, resulting in a net operating loss of $97,704.33 for September 2024. Ex. 4 at 4.013 at Net Operating Income. Meadors also testified that the operating income for September 2024 was -$97,000.00. Transcript at 73:4-16.

The Debtor's Initial Report identifies many of Meadors' personal assets and liabilities. Ex. 2.010; Transcript at 56:18-58:15, 60:10-61:3. The Debtor's operating reports continue to intermingle the Debtor's assets and liabilities with Meadors' personal assets and liabilities. Ex. 5.015; Ex. 7.013-14; Ex. 8.013-14; Ex. 9.013; Ex. 21.013. Meadors admits in his testimony that certain errors like these "need[] to be changed." Transcript at 81:16-25. The Debtor has not corrected any of these errors.

The Debtor's financial records—throughout the pendency of this case—indicate the Debtor owns a $1,000,000 interest in digging mats located in North Carolina. E.g., Ex. 9.013. However, the Debtor has not had any such interest since the beginning of this case, and this has not been corrected in the Debtor's submissions —which are filed under penalty of perjury—even though such inaccuracy "has been noticed" by Meadors. Transcript at 80:12-81:15.

The Debtor accounted for the exact same $35,000.00 of income for providing services in both the December and January monthly operating reports. Compare Ex. 8.017 (calculating $35,000.00 of Service Dept. Income into its income for December 2024), with Ex. 9.017 (calculating $35,000.00 of Service Dept. Income into its income for January 2025). See also Transcript at 148:5-150:3 (testifying that this income is counted as income twice in the Debtor's monthly operating reports).

These errors are not inconsequential. For instance, the Debtor's incorrect reporting of income—through double reporting $35,000.00 of income in December 2024 and January 2025 and by presenting a net operating income of $67,567 rather than a net loss of $97,704.33 in September 2024—is seriously misleading to the Court and the parties in interest in this case. The Debtor's Supplement to the Disclosure Statement incorporates these financial errors and overstates the profit and loss from September 2024 and January 2025 by $165,567 and $35,000.00, respectively. See Ex. 12.003. The Debtor's monthly representations are materially incorrect and are misleading the Court and creditors in this case.[13] Further, the post-petition expenses do not include any professional fees, which Ms. Goodson acknowledged in her testimony have not been paid post-petition, and thus the Debtor is not operating at a "healthy net profit" as it contends. Transcript at 160:16-161:13; Doc. No. 104 at 6 (asserting the Debtor has "operated at a healthy net profit").

Simply put, the numerous, significant inaccuracies in the Debtor's filings demonstrate the Debtor's gross mismanagement of the bankruptcy estate. Just as in *In re Gateway Access Sols., Inc.*, Meadors is clearly "not closely monitoring the monthly operating reports" and is unjustifiably deferring to Ms. Goodson regarding the same.[14] Similarly, like the debtor's manager in *In re M.A.R. Designs & Construction, Inc.*, Meadors has testified that "information on some of" the debtor's "reports were inaccurate due to his mistakes."[15] Meadors must provide parties-

[13]Removing these errors, the correct average monthly profit of the Debtor equals $3,513.50. This "correct" calculation assumes the accuracy of the Profit and Loss Statements for September 2024 and January 2025, less the errors discussed above. But GPNB does not trust the accuracy of the financial statements—which is part and parcel of the Debtor's gross mismanagement. GPNB therefore submits this calculation without conceding the accuracy of the Debtor's Monthly Operating Reports.

[14]473 B.R. at 565.

[15]653 B.R. 843, 858-59 (Bankr. S.D. Tex. 2023).

in-interest with a true and accurate financial picture of the debtor-in-possession. But he has chosen not to do so. None of the Debtor's false submissions have been amended.

Meadors has admitted to wrongfully taking over $10,000.00 of the Debtor's funds during the pendency of this case and he has not repaid one cent of those funds to the bankruptcy estate. Meadors is driving around in his Corvette which has been paid for—at least partially—with the Debtor's funds. Additionally, the Debtor possesses substantial heavy equipment of which it recently denied ownership. *See generally* Ex. 22 (evidencing forty-four (44) pieces of valuable heavy equipment possessed by the Debtor for which it denies ownership). When you combine all of these facts, more than sufficient cause exists to convert this case and appoint a chapter 7 trustee to manage the bankruptcy estate. *In re M.A.R. Designs & Construction, Inc.*, 374 B.R. at 565 (inaccuracies, "when paired with misconduct," constitutes gross mismanagement of the estate). Once this case is converted, all parties-in-interest and the Court will be able to evaluate the Debtor's true financial condition for the first time.

B. Neither Meadors nor Holly Goodson are effective at managing the Debtor.

A debtor's "[f]ailure to maintain an effective corporate management team" constitutes gross mismanagement of the bankruptcy estate.[16] GPNB respectfully submits that the evidence in the record demonstrates that the Debtor has effectively no corporate management.

Since the Debtor commenced this case, it has acknowledged the importance of correcting its financial records. The Debtor asserts that alleged malfeasance and nonfeasance by a former employee "resulted in books and records not being reasonably current in nature" and rendered the Debtor's records unreliable. Ex. 1.005-6. The Debtor also acknowledged that it had "not filed tax returns" for 2022 and 2023 but assured it would be "prioritized post-petition" in an

[16] *In re Gateway Access Sols., Inc.*, 374 B.R. at 564; *In re Broad Creek Edgewater, LP*, 371 B.R. 752, 759 (Bankr. D.S.C. 2007) ("[T]he Debtor has no 'corporate' management and this fact proves gross mismanagement of the estate and a breach of fiduciary obligation to the creditors.").

"expedient-but-deliberate manner." Ex. 1.006. The importance of this issue has been enhanced by the Internal Revenue Service's filed proof of claim estimating that the Debtor owes $4,517,997.54 in taxes for 2022 and 2023. Ex. 15.002, Item 7.

However, the Debtor's management is doing little to nothing to address these issues. Meadors—the sole employee of the Debtor—knows very little about the Debtor's finances. He testified that he plays no role in the debtor's books, records, or financials at all. Transcript at 16:18. During his testimony, Meadors repeatedly deferred to Ms. Goodson and asserted that she is in charge of overseeing and correcting the Debtor's finances. Id. at 13:22-14:13, 32:4-8, 54:11-15, 55:21-56:8. But Ms. Goodson is a volunteer bookkeeper. Id. at 14:6-12. She is not obligated to continue working for the Debtor and is doing so solely at her goodwill. Id. at 161:5-13. Even so, Ms. Goodson testified that she has done nothing to correct pre-petition financial records other than "input the bank statements into his QuickBooks." Id. at 129:17-130:18. Thus, Ms. Goodson is not doing anything "relating to the [Debtor's] taxes" or "anything relating to prior financials." Id. at 130:8-18. She also does not understand the Debtor's current financial records. For instance, she testified that she does not know what the Debtor's "sales product income" or "rental department income" constitutes on the financial statements she created. Id. at 146:14-25, 147:19-25. She also testified that she has "not even tried to figure out" why Meadors' personal assets and liabilities are listed on the balance sheet of the Debtor submitted to the Court each month. Id. at 143:19-144:11 (emphasis added).

The Debtor continues to hide behind its unreliable pre-petition books and records as an excuse for all of its financial shortcomings post-petition. This is not acceptable in a chapter 11 proceeding. This case has been pending for eight (8) months and these excuses are not valid and should not be tolerated by the Court. The Debtor has not hired an accountant or financial professional to help correct the accounting and reporting problems that exist in this case both

pre- and post-petition. The Debtor has not hired a tax professional to file several years of past due tax returns or analyze the proof of claim filed by the Internal Revenue Service in excess of $4.5 million.

Lastly, the Debtor has not taken basic steps to recover a valuable asset: its accounts receivable in excess of $1 million. Ms. Goodson testified that the Debtor has taken no action (other than submit and subsequently withdraw an application to employ a collection agency) to collect accounts receivable, which are allegedly worth more than $1 million. Id. at 138:24-139:23. Ms. Goodson testified that the Debtor has not even sent invoices or reminder statements for these accounts receivable. Id. at 129:20-23.

In sum, the Debtor must have an effective corporate management team to fulfill its fiduciary obligation to creditors. Neither Meadors nor Ms. Goodson are doing anything to correct past or current financial records or to file taxes, and the Debtor has not sought to employ a tax professional or an accountant to correct these financial records. Id. at 16:17-17:20 (stipulating that "there is no employment application on file" and acknowledging the Debtor "is well-aware of the need to emplo[y] professionals"). Apparently, nobody is undertaking the tasks essential to evaluating the Internal Revenue Service's claim of $4,517,997.54 in this case. See Ex. 15.002.

Based on the foregoing, GPNB respectfully submits that the Debtor lacks an effective corporate management team and that the Court has cause to convert the case to a chapter 7 proceeding.

C. Meadors used the Debtor's funds post-petition and failed to repay these amounts despite taking a $5,000.00 monthly salary from the Debtor.

At the commencement of this case, Meadors certified that he read and understood the United States Trustee Chapter 11 operating guidelines and agreed to conduct himself accordingly. Transcript at 52:4-53:5. Meadors then proceeded to use at least $10,491.75 of the Debtor's funds for his own personal purposes. Ex. 11.024 at Section 4.4. Meadors claims he

spent this money because he did not "understand it or" or "didn't understand [what] was personal" when the case commenced. Transcript at 53:23-54:10.

Meadors' justification is inconsistent with his acknowledgment that he read and understood the guidelines for operating a debtor in possession. *See id.* at 52:4-53:5. It is also inconsistent with the facts of his personal expenditures, specifically:

> Meadors made monthly payments for his Corvette of $2,136.02 through November, 2024, which is four months into this case. Ex. 4.016 at Loan 482237; Ex. 5.019 at Loan 482237; Ex. 7.017 at Loan 482237; Transcript at 74:10-19, 76:4-24; 82:1-15.
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> Meadors spent $661.00 at Harbors View Marina on October 24, 2024, *Id.* at 77:17-78:4.
>
> Meadors spent $737.81 at a Western Outfitters store on November 20, 2024. Ex. 7.023. Meadors testified that this $737.81 expense accounted for the purchase of "a pair of jeans and a shirt." Transcript at 82:16-25.

CONCLUSION

The Court should convert this case to a proceeding under chapter 7 of the Bankruptcy Code. GPNB need only show "cause" for conversion by a preponderance of the evidence. The Debtor has operated as a debtor-in-possession for over eight (8) months. During this time, it has not filed its tax returns (or even hired a tax professional), corrected its financial records (or even hired an accounting professional), or engaged in viable business operations. The Debtor has repeatedly provided false information to the Court and demonstrated its unwillingness to correct its false submissions. GPNB's collateral has been deteriorating in the Debtor's lot alongside property—labeled as the Debtor's—which the Debtor insists it does not own. GPNB's collateral is not being used to generate revenue for the benefit of the estate. Current management of the Debtor has a conflict of interest, has breached (and continues to breach) his fiduciary duty to the Debtor and is (and has) grossly mismanaging the Debtor. Altogether, the Court has ample cause

to convert this case. As such, GPNB respectfully asks the Court to grant the Motion and provide the relief requested therein.

Dated: April 28, 2025

Respectfully submitted,

/s/ Connor M. Andreen

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CERTIFICATE OF SERVICE

I certify that on this 28 day of April, 2025, a true and correct copy of the foregoing document was served electronically upon the parties registered to receive electronic notice via this Court's electronic case filing system.

/s/ Connor M. Andreen

Connor M. Andreen